

preferred destination for their careers. Despite the alarm sounded by the likes of Charlie Munger and others, the flood of young brainpower into the financial sector continued to pick up momentum even as the financial markets lost theirs. The number of Chartered Financial Analysts (CFAs) has reached a record high of 82,000, and *Barron's* recently reported that “no fewer than 140,000 new applicants—also a record high—from every corner of the earth are queued up to take the exams that will confer on the lucky ones the coveted [CFA] imprimatur.”

Perhaps I should be cheered by such news. This is, after all, a calling to which I have devoted my entire career. I fear, though, that the motivation of too many of those rushing into finance is more aligned with what they can get from society than what they can give back to it; and it is a mathematical certainty that the cost of the services provided by their firms, as a group, will exceed the value that they create. That is the issue on which I want you to focus: *the disconnect between cost and value in our financial system*.

The Drain of Costs and Taxes

Let's start with the costs, where it is easiest to see through the haze. Over the past 50 years, the (nominal) *gross* return on stocks has averaged 11 percent per year, so \$1,000 invested in stocks at the outset would today have a value of \$184,600. Not bad, right? But it costs money for individuals to own stocks—brokerage commissions, management fees, sales loads, advisory fees, the costs of all that advertising, lawyers' fees, and so on. A good estimate of these costs is at least 2 percent per year. When we take out those assumed investment expenses, even at the rate of only 2 percent, the historic rate of *net* return would drop to 9 percent, and the final value would drop by more than one-half—to just \$74,400.

If we assume that as little as 1.5 percent is paid by taxable investors to cover income taxes and capital gain taxes on that return, the after-tax rate of return would fall to 7.5 percent, and the final wealth accumulation would plummet by *another* one-half, to \$37,000.